NeoCloud Workday Payroll, Time & Absence Design

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This document designs Workday Payroll, Time Tracking and Absence for NeoCloud: 375 employees in five pay groups, with US payroll in Workday and the UK, Canada and India through one provider. It also covers integration to NetSuite, controls and go-live. Each design point names the app screen, and up to two worker IDs, where a reviewer can see it working. All assumptions and design decisions are collected in section 10.

1. Pay group structure and pay period schedules

US hourly non-exempt workers get their own biweekly pay group. US salaried exempt workers stay on semi-monthly, and each non-US country gets one monthly pay group.

Pay group	Population	Frequency	Periods / year	Processed in
US Semi-monthly	US salaried exempt employees	Semi-monthly	24	Workday Payroll (US)
US Biweekly	US hourly non-exempt employees (On-Prem data center technicians, CA and TX)	Biweekly	26	Workday Payroll (US)
UK Monthly	UK employees	Monthly	12	One in-country payroll provider via PECI (section 8)
Canada Monthly	Canada employees	Monthly	12	One in-country payroll provider via PECI (section 8)
India Monthly	India employees	Monthly	12	One in-country payroll provider via PECI (section 8)

Why the hourly population is split out

- **The FLSA workweek drives overtime.** Overtime is calculated on a fixed 7-day workweek (Sunday 00:00 to Saturday 23:59). A biweekly period is exactly two workweeks, so a week's overtime is never split across two periods.

- **Semi-monthly periods break workweeks.** Periods ending on the 15th and month-end cut through the middle of a week. Overtime for that week could only be paid a period late, after the week closes, or by estimating and then truing up through retro.
- **California daily rules stay within one period.** Daily overtime, double time, 7th-consecutive-day and meal/rest premiums all resolve inside the period. That meets the Labor Code 204 timing rules without routine retro.
- **Time close runs on its own calendar.** Hourly timesheets close on the period end date. Salaried payroll is not held up by time approval.
- **Salaried pay is not hour-driven.** Exempt salary is annual pay ÷ 24, prorated only for hire, termination, unpaid leave or a comp change. Semi-monthly matches the existing Rippling cadence and the employee experience.

We considered a single semi-monthly group for everyone and rejected it. It would turn every split workweek into a retro event and make overtime reconciliation against time records harder for auditors.

Pay period schedules

Pay group	Period in this run	Pay date	Pay date rule	Time / input cutoff
US Semi-monthly	Oct 16–31, 2026	Tue Oct 27	Paid before period end. Salary for the last days is paid in advance; approved future-dated events (e.g. the Oct 26 move) are included.	Comp, one-time payment, event and absence input locked Thu Oct 22
US Biweekly	Oct 4–17, 2026 (two Sun–Sat workweeks)	Fri Oct 23	Friday after period end (6 days in arrears)	Managers approve time by Monday 15:00; pending time routes to the Time Admin
UK Monthly	Oct 1–31, 2026	Fri Oct 23	Last business day on or before the 25th (Oct 25 is a Sunday)	Change cutoff 15th; final PECI file 16th (section 8)
Canada Monthly	Oct 1–31, 2026	Fri Oct 23	Last business day on or before the 25th	Change cutoff 15th; final PECI file 16th (section 8)
India Monthly	Oct 1–31, 2026	Fri Oct 23	Last business day on or before the 25th	Change cutoff 15th; final PECI file 16th (section 8)

Rules that apply across groups:

- **Population moves between groups.** A worker who moves between exempt and non-exempt changes to the pay group effective on the first day of the next period of the new group. The comp plan changes on the same date, so no period is paid twice or missed.

- **Canada frequency.** Monthly pay is allowed in Ontario and British Columbia. The dataset has Montreal (Quebec) employees, and Quebec requires at least semi-monthly pay. They stay in Canada Monthly until Payroll Ops confirms (open question, section 10).
- **App behavior.** The app reads the pay group and period schedule from configuration and processes one period per run. This design's calculated period is the US Semi-monthly run. The US Biweekly period that overlaps it is calculated for the time results and reconciliation.

2. Pay component catalog

Every pay component has one source of truth and one calculation, and the app uses the same codes. Each line on a worker's results traces back to a Workday feed. In the app: Setup → Rules & pay codes shows the full catalog.

Earnings

Code	Component	Fed by	Calculation	Taxability
REG_SAL	Regular salary	Compensation (salary plan)	Annual ÷ 24, prorated by working days	Taxable
REG_HRS	Regular hours	Time Tracking	Hours × base rate on the work date	Taxable
UNPD_LV	Unpaid leave dock	Absence	Working days on leave × daily rate (negative)	Taxable
RETRO_SAL	Retro salary	Compensation (late-entered change)	Recalculated minus paid salary	Taxable
RETRO_HRS	Retro hours	Time Tracking (prior-period correction)	Recalculated minus paid prior-period day	Taxable
OT_15	Overtime 1.5×	Time Tracking	OT hours × (base + 0.5 × the week's regular rate)	Taxable
DT_20	Double time 2×	Time Tracking	DT hours × (base + 1.0 × regular rate)	Taxable
SVD_15 / SVD_20	7th consecutive day, first 8 hours / over 8 (CA)	Time Tracking	Same as OT_15 / DT_20	Taxable
DIFF_NGT	Night differential	Time Tracking	Rate × hours worked 22:00–06:00	Taxable

Code	Component	Fed by	Calculation	Taxability
DIFF_NGHT / DIFF_WKND	Shift differential	Time Tracking	Shift-code rate × hours outside the night window	Taxable
MEAL_PEN	Meal period premium (CA)	Time Tracking + meal attestation	1 hour × regular rate, max 1 per day	Taxable
VAC_HRS / SICK_HRS	Vacation and sick hours	Absence (time off in the period)	Hours × base rate	Taxable
LEAVE_PAID	Paid leave	Absence	Scheduled hours × base rate	Taxable
PTO_FLEX	Flexible PTO taken (exempt)	Absence	Memo line; salary continues	Memo
BON_SIGN / BON_SPOT	Sign-on and spot bonus	One-time payment	Flat amount	Taxable (supplemental)
VAC_PAYOUT	Vacation payout at termination	Absence (balance at term date)	Hours × base rate	Taxable
HOL_STAT	Holiday pay	Holiday calendar	Hours × base rate	Taxable

Deductions

Code	Component	Fed by	Calculation	Tax treatment
401K_EE	401(k) deferral	Payroll inputs (employee election %)	Election % × gross	Pre-tax: exempt from FIT/SIT, subject to FICA
MED_EE / DEN_EE / VIS_EE	Medical, dental, vision	Payroll inputs (benefit election)	Flat per period	Pre-tax Section 125
BEN_ARR	Benefits arrears recovery	Calculated	Shortfall from a period with too little pay, recovered later	Post-tax

Code	Component	Fed by	Calculation	Tax treatment
GARN_CS	Child support	Garnishment event	Order amount, capped at the legal limit of disposable earnings	Post-tax
GARN_CRED	Creditor garnishment	Garnishment event	Flat amount until the balance is paid, within the CA creditor limit	Post-tax

Employer contributions

Code	Component	Calculation
401K_ER	401(k) match	100% of the deferral, up to 4% of gross
BEN_ER	Employer benefits load	10% of gross
OASDI_ER, MEDI_ER, FUTA_ER, SUI_ER	Employer taxes	Dataset rates and wage bases (section 10)

Employee taxes (FIT_EE, SIT_xx, SDI_CA, OASDI_EE, MEDI_EE) come from the tax engine; the rates used are in section 10.

Pay component groups

Group	Members	Used for
Regular rate earnings	REG_HRS, RETRO_HRS, DIFF_NGT, DIFF_NGHT, DIFF_WKND	Weekly regular rate for OT, DT, 7th day and meal premium
401(k) eligible earnings	All cash earnings except PTO_FLEX	401(k) deferral and match
Section 125 deductions	MED_EE, DEN_EE, VIS_EE	Reduce FIT, SIT and FICA wages
Supplemental earnings	BON_SIGN, BON_SPOT	Flat-rate federal withholding

Bonuses are excluded from the regular rate because the dataset's spot awards are discretionary and sign-on bonuses aren't tied to hours.

3. Retro pay design

Retro works the same way for pay and for time. The affected period is recalculated with the corrected data, compared with what was paid, and the difference is paid in the current run as RETRO_SAL or RETRO_HRS.

What triggers retro

Case	Trigger	Handled as	In the app
Comp change effective in the open period, entered before the cutoff	Effective-dated comp change	Split-rate proration by working days in the current run; no retro	Payroll results → E0015 or E0022 (hourly rate change mid-period)
Comp change entered after the period it affects was paid	Effective date earlier than the last completed run	Original pay at the old rate, plus RETRO_SAL for the difference	Payroll results → E0002
Prior-period timesheet correction	Approved time block changed in a closed period	The corrected day is recalculated with the time rules; the difference is paid as RETRO_HRS	Payroll results → Time results → E0071 (missing Out punch) or E0112 (Out time changed)

How it is calculated

1. **Comp change.** Workday recalculates the affected period with the effective-dated rate, using working-day proration (old rate before the effective date, new rate from it). Recalculated minus paid becomes RETRO_SAL in the current run.
2. **Timesheet correction.** The corrected day is run through the same time pipeline as current time: daily and weekly OT, differentials and meal rules. Its premiums are priced at the regular rate of that day. Recalculated minus paid becomes RETRO_HRS.
3. **Downstream.** RETRO_SAL and RETRO_HRS are 401(k)-eligible, so the deferral and match recalculate on the difference.

Taxes and accounting

- **Taxed when paid.** Retro is taxed in the run where it's paid. A difference for a prior tax year is still current-year wages.
- **Posting.** RETRO_SAL and RETRO_HRS post to Salaries – regular (account 6100) with the worker's department, location and class.
- **Review.** Every retro line appears on the pre-payroll audit for review before the run is approved. In the app: Pre-payroll audit (AI).

4. Payroll accounting and NetSuite GL integration

Workday payroll results post to NetSuite through one GL mapping: posting rules by country turn every pay code into an account and a debit or credit, and worktags become NetSuite segments. Each pay run produces one balanced journal per company and pay date, in local currency. It is validated before it is sent, and tied back to the register after it posts.

Segment mapping

Workday worktag	NetSuite segment	Values	Derived from
Company	Subsidiary	NC-US → NeoCloud Inc. (US), USD · NC-UK → NeoCloud UK Ltd, GBP · NC-CA → NeoCloud Canada Inc., CAD · NC-IN → NeoCloud India Pvt Ltd, INR	The worker's position (employing entity)
Cost center	Department	Engineering → 100 (R&D) · GPU Cloud → 200 (Cost of revenue) · On-Prem → 300 (Cost of revenue) · G&A → 400 (G&A)	Default cost center of the worker's supervisory org; changes when the manager chain changes
Location	Location	Work location, effective-dated	Position; splits mid-period on a location change (section 5)
Pay group	Class	US Semi-monthly, US Biweekly, UK / Canada / India Monthly	Pay group

Expense accounts carry department, location and class. Liability and cash accounts post at subsidiary level only.

Account mapping

Pay codes	Debit	Credit
Earnings (salary, hours, OT/DT, differentials, meal premium, time off, bonuses)	6100–6140 by earning type	
Employer taxes and benefits (OASDI_ER, MEDI_ER, FUTA_ER, SUI_ER, 401K_ER, BEN_ER)	6200–6240	2130–2143 payables
Employee taxes (FIT, SIT, FICA, SDI)		2110–2125 withholding payables
Deductions (401(k), Section 125, garnishments)		2141, 2142, 2150
Vacation payout (VAC_PAYOUT); net pay (US)	2190 Accrued leave liability (payout)	2101 Net pay payable
International (provider register)	6100–6140, 6220 employer statutory, 6240	2160 statutory payable, 2170 provider clearing

The full mapping (every pay code, account and side) is in the app: Setup → GL mapping.

Ownership. The GL mapping is one file, with posting rules by country. Each company is assigned to exactly one country, so a company can't be mapped twice.

- **Owner:** Accounting (Corporate Controller) owns the mapping and approves every change.
- **Who maintains it:** People Tech, through a change request.
- **How a change goes live:** it's tested in the sandbox against a full payroll journal, then moved to production before the next pay run's cutoff.
- **New pay codes:** a new pay code can't be used in production until it has a posting rule.

Journal design

- **Summarized journal.** One journal per company per pay group and pay date, summarized by subsidiary × account × department × location × class. Worker detail stays in Workday. In the app: Payroll results → E0014 → Payroll accounting shows one worker's lines.
- **Gross pay posts to expense; liabilities are cleared outside payroll:**

Liability	Booked by payroll	Cleared by
Net pay (2101)	NET_PAY	Bank file and checks on pay date (bank tie-out)
Tax withholding and employer taxes (2110–2132)	EE and ER tax codes	Tax remittance to the IRS and states
Benefit deductions and employer benefits (2141–2143)	Deductions and ER costs	401(k) trust deposit and carrier invoices
Garnishments (2150)	GARN_CS, GARN_CRED	Payment to the agency or creditor
International net pay (2170)	Provider register NET_PAY	Funding to the provider
International statutory (2160)	Provider register taxes	Provider or authority remittance

- **Month-end accrual for a period that straddles month-end.** For the biweekly group, the wages earned between the last period end and month-end are accrued to 2105 Accrued wages at scheduled hours × rate, and auto-reversed on the first day of the next month. The leave liability is trued up to 2190 at the same time. Semi-monthly needs no wage accrual, because its periods end on the 15th and on month-end. Accruals are a separate journal file from the pay run journal.

Integration mechanism

Recommendation: the Workday payroll accounting journal integration (Workday-delivered, outbound to NetSuite). It runs after the pay run is complete and the journal has passed validation. Workato and a file-based EIB were considered and not chosen:

- **Workday-delivered integration.** It posts exactly what payroll accounting calculated, using the same posting rules, with no extra mapping layer.

- **No middleware.** Workato would add a second place to maintain the mapping, and a license.
- **Auditable.** An EIB is manual and harder to evidence for audit; we keep it only as the fallback if the integration is down.

Situation	Behavior
Unmapped pay code, missing department or location, journal out of balance	Blocked in Workday before sending; no journal is created until it is fixed
NetSuite rejects the journal	NetSuite journals are all-or-nothing, so nothing posts. The integration event shows the error, and Accounting fixes it and re-sends the same journal.
Re-run	Each journal carries an external ID (company + pay group + pay date + run). A journal that has posted can't be sent again until it is reversed in NetSuite, which prevents double posting.
Reversal	Reverse in NetSuite with the same external ID, correct in Workday, re-send
Partly posted or missing journal	Detected by the daily tie-out: journals sent vs NetSuite journals with that external ID, by line count and debit/credit total

In the app: Close ⟶ Export payroll journal generates the NetSuite-ready journal (CSV). It checks that every line maps to an account and that the journal balances, and it blocks unmapped or out-of-balance entries before export. The international route can be tested with the UK register that has an unmapped code.

Multi-entity and multi-currency

- **Local posting.** UK, Canada and India provider results post to their own subsidiary in local currency (GBP, CAD, INR) from the provider register. NetSuite consolidates to USD at its period rates; the app shows USD at the reporting FX rates for review.
- **Intercompany.** Payroll cost is always booked to the employing entity. If a worker's cost center sits in a different entity, the recharge is a NetSuite intercompany allocation, not a payroll entry.

5. Work location changes (state-to-state and intra-state)

A location change is an effective-dated Change Job event (reason: work location change). The worker file holds the period-end location; the event carries the old value, new value and effective date. REG_SAL and pre-tax deductions split into location segments by working days. Federal tax is calculated once, while state income tax and CA SDI apply only to each state's segment (Texas has no state income tax). A state change creates the new state's withholding election and end-dates the old one. The location worktag splits the GL posting the same way (section 4), and state sick plans accrue only on days worked in that state (section 7).

Scenario	Worker	In the app
State-to-state move: Austin, TX → San Jose, CA, effective mid-period	E0014	Payroll results → E0014 → Earnings, deductions & taxes (CA tax on the CA segment only) and Payroll accounting (two locations); Payslip → E0014
Intra-state move: San Jose → San Francisco, CA	E0011	Payroll results → E0011 → Payroll accounting (two locations, one CA tax line)

6. Time Tracking configuration (non-exempt)

All 51 US hourly non-exempt employees enter time through one time entry template. Their hours are calculated by one of two time calculation groups: California, or non-California (Texas). Time runs on the US Biweekly period: two Sunday–Saturday workweeks, paid on the Friday after the period ends. Each design point below names up to two employee IDs, so a reviewer can look up the exact case in the app.

Workday constructs

Construct	Value	Population
Time entry template	US Non-Exempt EEs	All US Biweekly non-exempt employees
Time calculation group	US California Non-Exempt	CA employees: daily OT/DT, 7th day, meal premium, differentials
Time calculation group	US Non-California Non-Exempt	TX employees: weekly OT over 40 and differentials only
Period schedule	US Biweekly	Two workweeks per period; pay date the Friday after period end
Workweek (week breaker)	Sunday 00:00 – Saturday 23:59	Everyone (FLSA)
Day breaker	Shift start: a shift and all its hours belong to the day it starts	Everyone

Work schedules

Six shift codes come from the dataset: STD, DAY, SWNG, PT (no differential), NGHT (22:00–06:30, crosses midnight, $2.50/hr) and WKND (Fri–Sun 12-hour shifts, $1.00/hr).

The expected shift for a day is the last Shift Roster row for that worker and date; history is kept. If there is no roster row, the worker's default shift code applies. Examples: E0020 (scheduler added Sunday and Saturday coverage) and E0023 (an approved swap that wasn't worked, corrected by the manager).

Time entry codes

Code	Entered as	Paid?	Feeds
Worked time	Clock in/out, with meal out/in punches	Yes	Time calculations below
Meal attestation	Missed or waived, when no meal punch is recorded	n/a	CA meal premium
Manual entry	Manager-entered punches	Yes, after approval	Same as worked time (E0028 Oct 14)
Retro correction	Correction to a closed period	Yes, as RETRO_HRS	Section 3 (E0071, E0112)
Time off	From Absence: vacation, sick, paid leave	Yes	VAC_HRS, SICK_HRS; not hours worked

Time calculations and order of evaluation

1. **Clean the punches.** Duplicate rows are removed and not paid. Time after the termination date is excluded and flagged. Prior-period rows go to retro.
2. **Daily hours.** Hours worked = out − in − meal, to the minute. An out time earlier than the in time means the shift crossed midnight; the whole shift, including the hours after midnight, is credited to the day it started.
3. **CA daily overtime.** Over 8 hours up to 12 is OT; over 12 is DT.
4. **CA 7th consecutive day.** When all 7 days of the workweek are worked, the 7th day's first 8 hours are SVD_15 and hours over 8 are SVD_20.
5. **Weekly overtime (both groups).** Regular hours over 40 in the workweek become OT. An hour is only ever tagged once (no pyramiding).
6. **Differentials.** Hours between 22:00 and 06:00 earn the $3.00 night differential (DIFF_NGT). Other hours on NGHT or WKND shifts earn the shift rate. Each hour gets whichever is higher, never both.
7. **Meal premium (CA only; max 1 hour per day).** A premium is owed for any of these:
    - **Missed meal:** no meal on a shift over 5 hours. If the worker attested the meal was waived, there is no premium; if they attested it was missed, there is one.
    - **Late meal:** the meal starts after the end of the 5th hour.
    - **No second meal:** the shift is over 12 hours. This can't be waived.

    Outside California, meal exceptions are flagged but not paid.
8. **Regular rate per workweek.** (Straight-time pay + differentials) ÷ hours worked. Discretionary spot bonuses and sign-on bonuses are excluded.
9. **Premiums.** OT and SVD_15 are paid at hours × (base + 0.5 × regular rate). DT and SVD_20 are paid at hours × (base + 1.0 × regular rate). MEAL_PEN is 1 hour × regular rate.

Cases to look up in the app

In the app: Payroll results → worker → Time results shows the day-by-day rule trace, and Time cards shows the punches as captured. The Time cards screen lists every worker's raw punches and exceptions.

Case	Worker and date	How it is handled
CA daily OT + DT, late meal	E0021 Oct 6	8 REG + 4 OT + 0.75 DT; 1 meal premium (max 1 per day)
No second meal over 12 hours	E0049 Oct 10, E0228 Oct 15	1 meal premium each; can't be waived
Missed vs waived meal (CA)	E0021 Oct 7, E0074 Oct 8	Premium for the attested missed meal; none for the waived one
7th consecutive day	E0020, week of Oct 4	Saturday 7.9 SVD_15; regular hours over 40 → weekly OT
Texas: weekly OT only	E0237, E0113	Weekly OT over 40; no daily OT, 7th day or meal premium
Shift crossing midnight	E0228 Oct 15, E0142 Sat Oct 17	Out time placed on the next day; the whole shift, including night hours after midnight, is credited to its start day and workweek
Duplicate punch	E0078 Oct 8, E0251 Oct 12	Identical row (same worker, date, in, out, meal) removed before calculation, logged, not paid
Prior-period (retro) correction	E0071 Oct 1, E0112 Sep 30	Corrected day recalculated through the same rules; the difference is paid as RETRO_HRS at the original day's rates; original and corrected rows kept; needs a reason and manager approval
Time after termination	E0028 Oct 14	Excluded and flagged until HR confirms the termination date

Approval routing

1. **Worker.** Clocks in and out each shift and records a meal attestation when no meal is punched.
2. **Scheduler or lead.** Maintains the shift roster; doesn't approve time.
3. **Manager.** Approves time by Monday 15:00 after the period ends. Pending time routes to the Time Admin.
4. **Exceptions.** These also route to the Time Admin:
    - a manual entry
    - a retro correction
    - time after termination
    - a meal exception
    - a shift over 12 hours

    - a 7th consecutive day
5. **Control.** Workers can't approve their own time, and the Time Admin can't run payroll (control C2, section 9).

Validations in the time entry template

Validation	Severity	Effect	Example
Identical row, or a punch within 2 minutes of the same punch	Critical (auto-resolved)	Second entry removed, not paid	E0078, E0251
In without Out, or Out without In	Critical	Can't submit; a fix after close becomes a retro correction	E0071
Time after termination or before hire	Critical	Excluded; routed to HR	E0028
Edit to a closed period without a reason code	Critical	Can't submit	E0112
No meal over 5 hours, late meal, or no second meal over 12 hours (CA)	Warning	Attestation (missed or waived); premium paid when owed	E0021, E0049
No time entered for the period	Warning	Missing Time exception to the manager	E0148

7. Absence

Each population has one accrual or time-off plan, rolled forward every pay period as opening + accrued − used − paid out = ending. Workday is the system of record for every balance, including the international ones the provider prints on payslips. Hourly accrual is driven by hours worked from Time Tracking. Unpaid leave pauses accrual. Termination either pays out the balance through payroll or forfeits it, depending on the plan.

Plan design

Plan	Population	Accrual method and frequency	Eligibility and waiting period	Carryover and cap	Payout on termination
US Flexible PTO	US exempt (salaried)	None: unlimited. Time taken is tracked in hours as a memo line (PTO_FLEX); salary continues	From hire; no waiting period	No balance, no carryover	None

Plan	Population	Accrual method and frequency	Eligibility and waiting period	Carryover and cap	Payout on termination
US Hourly Vacation	US non-exempt	0.0462 hours per hour worked (about 96 hours a year at full time), every biweekly period	Accrues from hire; usable once accrued	Accrual stops at the 120-hour cap; the balance carries over up to the cap	Yes: remaining hours × base rate (VAC_PAYOUT)
California Paid Sick Leave	CA employees (exempt assumed at 40 hours a week)	1 hour per 30 hours worked, every pay period; only on days worked in California	Accrues from hire; usable after 90 days of employment	80-hour cap; carries over up to the cap	None; forfeited
UK Annual Leave	UK employees	28 days a year (2.33 days a month), prorated by working days employed and paid	From the first day	5 days carry into the next holiday year (Jan–Dec)	Yes: accrued untaken days × daily rate (annual ÷ 52 ÷ 5)
Ontario Vacation	Canada employees	15 days a year (1.25 days a month): 3 weeks, with vacation pay at 6%	From hire	Taken within 10 months after the entitlement year (Ontario ESA)	Yes: days × daily rate
India Earned Leave	India employees	18 days a year (1.5 days a month)	Usable after 240 days worked	45-day carryover cap	Yes: encashment, days × daily rate

Other plans in the dataset follow the same model: state sick plans for NY, MA, IL and CO, Texas company sick, India sick/casual leave and Canada sick leave. The front-loaded plans are granted at the start of the year and don't accrue each period. The waiting periods, carryover and Ontario vacation pay rate are design assumptions (section 10).

Hire, leave and termination

Accrual and the waiting period start on the hire date, and monthly plans prorate by working days employed. Accrual pauses for each working day of unpaid leave (paid leave keeps accruing) and runs to the termination date. Plans with payout pay the ending balance in the final pay; the others are forfeited.

On a move between states, the old state's sick plan stops on the move date and the worker joins the new state's plan. In the app: Absence & payouts → CA Paid Sick Leave → E0014.

Ending balances and payouts

In the app: Absence & payouts → Time off balances shows every worker's opening, accrued, used, paid out and ending balance by plan, with a flag explaining any proration, cap or termination. The Payouts & leave liability tab lists the payouts that flow to payroll and the leave liability by plan. Two sample workers:

- **E0028** (CA hourly, terminated mid-period). Vacation accrues on hours worked up to the termination date. The balance is paid as VAC_PAYOUT in the final pay, and CA sick leave is forfeited.
- **E0006** (UK leaver). Annual leave accrues to the termination date. The accrued, untaken days are paid by the provider as holiday pay on termination, and that amount is reconciled to Workday's balance (section 8).

How absence interacts with time and payroll

- **Time off reduces scheduled hours.** Approved time off fills the scheduled hours for that day and pays at base rate (VAC_HRS, SICK_HRS). It isn't hours worked, so it never counts toward overtime. A worker can work part of a day and take the rest as leave. In the app: Payroll results → E0073 → Time results (4 hours worked + 4 hours sick on the same day).
- **Accrual comes from hours worked.** Hourly accruals use hours worked from the time engine only; leave hours don't accrue. That's why absence runs after time calculation.
- **Usage is capped at the balance.** Requests over the available balance are capped and flagged. In the app: Absence & payouts → TX Hourly Sick → E0096 (uses the full remaining balance).
- **Unpaid leave and payroll.** For salaried workers, UNPD_LV docks pay by working days on leave. For hourly workers, no time is paid during the leave. Benefit deductions that can't be taken become arrears, recovered when pay resumes. In the app: Payroll results → E0031 (salaried, leave starts mid-period) or E0134 (hourly).

8. International payroll integration

The UK, Canada and India all use Workday's Payroll Effective Change Interface (PECI) to send changes to one in-country payroll provider. The provider runs gross-to-net and returns a payroll register. Workday stays the system of record for workers, compensation, absence and one-time payments. The returned results are loaded to Workday Prism, reconciled to what was sent, and posted to each NetSuite subsidiary (section 4).

Integration approach

Option	Decision	Why
PECI to one provider for all three countries	**Chosen**	One integration, calendar, SLA and reconciliation; PECI sends effective-dated changes, including retro and future-dated events

Option	Decision	Why
Global Payroll Connect partner per country	Not chosen	Three connectors, calendars and contracts for three small populations
Custom PICOF	Not chosen	Older full-file format that PECI replaces

The risk is dependence on one provider. We manage it with an SLA on accuracy and timeliness, a monthly variance review, and an exit clause, so that one country can move to a partner later without changing Workday.

UK data mapping

Sent to the provider (PECI)

Data	Workday source	Provider field
Worker	Worker ID, legal name, home address, NI number, tax code, hire and termination dates, company NC-UK, cost center, location, pay group UK Monthly	Employee record
Compensation	Annual salary and effective date (each change sent effective-dated, so mid-month increases prorate)	Basic pay
Pension	Employee pension % election	Pension deduction
Absence	Annual leave taken, unpaid leave dates, ending balance in days	Holiday and unpaid absence; payslip balance
One-time payment	Bonus amount and date (sign-on, spot)	BONUS
Termination	Termination date and accrued untaken holiday days	Final pay and holiday pay
Bank	Account and sort code (from worker self-service)	Payment details

Returned by the provider (payroll register, one row per worker)

Register field	Meaning	Lands in Workday / posts to NetSuite
BASIC, BONUS, HOL_PAYOUT	Earnings	Prism; 6100, 6140, 2190
PAYE, EE_NI, EE_PENSION	Employee tax and deductions	Prism; 2160 International statutory payable
NET_PAY	Net pay	Prism; 2170 International provider clearing
ER_NI	Employer National Insurance	Prism; 6220 / 2160

Register field	Meaning	Lands in Workday / posts to NetSuite
ER_BENEFITS	Employer-paid benefits (5% of gross)	Prism; 6240 / 2143
leave_balance_days	Balance printed on the payslip	Compared to Workday's balance; Workday is the master

Every register row also carries the worker ID and the Workday company, so rows can be routed to the right subsidiary and matched to the worker.

Monthly calendar

All three countries are paid monthly, on the last business day on or before the 25th (October: Fri Oct 23).

Step	Timing	Owner
Incremental PECI weekly from the 1st; change cutoff 15th; final PECI 16th	1st–16th	Integration; HR / Payroll Ops
Provider processing and preliminary register	17th–19th	Provider
Reconcile to Workday, then approve the final register	3, then 2 business days before pay date	Payroll Ops; Payroll Manager
Funding, then pay date (last business day on or before the 25th)	1 business day before; pay date	Treasury; Provider
Results loaded to Prism; GL journal posted	Pay date + 1 business day, by close day 2	Payroll Accountant

Changes after the 15th go into the next month's run as arrears, or into a supplementary run if they are urgent.

Employer cost and GL posting in USD

In the app: International shows each country's provider results and employer cost in local currency and USD, checked against Workday's recalculation: UK employer NI 13.8% above £758 a month, Canada CPP + EI 7.5%, India PF 12% of basic within the ₹15,000 ceiling, and 5% employer benefits for all three. Look up E0059 (UK) or E0052 (India). Close → Export payroll journal (international route) posts each country to its subsidiary in local currency, with USD at the reporting rates (GBP 1.27, CAD 0.73, INR 0.012).

Reconciling provider results each cycle

1. **Expected vs paid.** Workday builds what it sent (headcount, prorated basic, one-time payments, termination payouts, leave balances) and compares it field by field with the provider register.
2. **Classify every variance.** Each one is data, timing, provider error or configuration difference, with a root cause and a disposition. Workday is the master for absence balances.
3. **Tie the money.** Provider net = funding, and provider clearing (2170) nets to zero after funding.
4. **Sign off.** Payroll Ops resolves the variances and the Payroll Manager approves before the journal posts.

In the app: International → provider reconciliation. E0084 is a timing variance (a salary increase sent after the cutoff); E0086 is a configuration difference (the provider ignored the PF wage ceiling).

9. Controls, parallel run and cutover

Go-live is each pay group's first 2027 pay period. Before that come four parallel runs against Rippling and a three-week cutover with dual maintenance. Every cycle runs under eight key controls, each with an owner, Workday evidence and segregation of duties enforced by security groups.

Payroll control matrix

#	Area	Control	Owner	Frequency	Workday evidence	Segregation of duties (security group)
C1	Input	Hire, termination and comp changes approved by HR before cutoff	HR Partner	Each cycle	Business process history (approvals) report	HR Partner initiates; HR Manager approves; Payroll has view-only
C2	Input	Time approved by managers by Monday 15:00; pending time routes to the Time Admin	Managers / Time Admin	Weekly	Time Blocks pending approval report	Workers can't approve their own time; Time Admin can't run payroll
C3	Input	One-time payments (bonuses) dual approval	Comp Partner	Each cycle	Request One-Time Payment business process history	Requester ≠ approver; Payroll Partner can't initiate
C4	Calculation	Pre-payroll audit run and exceptions cleared	Payroll Partner	Each cycle	Audit results with resolution notes	Payroll Partner clears; Payroll Manager reviews
C5	Calculation	Register flux vs prior period, with explanations	Payroll Manager	Each cycle	Payroll Results Comparison report	Reviewer isn't the preparer

#	Area	Control	Owner	Frequency	Workday evidence	Segregation of duties (security group)
C6	Approval	Payroll Partner completes the run; Payroll Manager approves	Payroll Manager	Each cycle	Complete Pay Calculation event approval	Payroll Administrator vs Payroll Approver security groups
C7	Funding	Funding amount = register net, approved by Treasury	Treasury	Each cycle	Funding report + bank confirmatio n	Treasury releases funds; Payroll can't release
C8	Output	Bank file total = register net (including checks)	Payroll Partner	Each cycle	Settlement run report vs NACHA control totals	File generated by the integration; no manual edit rights

In the app: Close → Controls & clean close shows this matrix with the automated tie-outs, and Close → Pre-payroll audit (AI) is the evidence for C4.

Clean close

A clean close for payroll means all of the following, each cycle:

- **Tie-outs.** Payroll register = Workday payroll accounting journal = NetSuite, by account, to the cent (Payroll Accountant). Every journal balances with no unmapped lines. Gross pay clearing (2100) and provider clearing (2170) are at zero after funding.
- **Variances.** Every legacy and provider variance is explained, and off-cycle payments since the last run are included.
- **Remittances.** Tax remittances equal the withholding and employer tax liabilities.
- **Sign-off.** No manual journal hits payroll accounts without Controller approval, and the Controller signs off within 2 business days of the pay date.

Parallel run strategy

Item	Design
Number of parallels	Four, covering both US pay groups: two on closed historical periods, then two shadowing live Rippling runs just before go-live. Together they include a month-end, a quarter-end and a period with off-cycle payments.

Item	Design
Environment	A Workday test tenant built from Rippling production data as of each parallel's cutoff
Entry criteria	Configuration complete and unit-tested; data conversion validated (headcount ties 100% to Rippling); integrations tested end to end; Rippling registers for the period available
Comparison	Workday vs the Rippling register, by worker and pay component
Tolerance	Headcount: exact. Per worker: gross, net, each tax and each deduction within $1.00 (rounding). Any difference above tolerance must be explained.
Triage	Each variance is classified as legacy error, configuration difference, timing, or data, with a root cause, an owner and a disposition. Configuration and data defects are fixed and the parallel is re-run. Variance status is tracked daily.
Exit criteria	Two consecutive parallels with zero unexplained variances; no open critical or high defects; GL journal ties to the register; sign-off by the Payroll Manager, Controller and Head of People Technology

In the app: Test → Payroll parallel test runs one parallel for the current period, comparing by worker and pay component, with every variance classified. Two examples: E0021 (legacy error: Rippling doesn't pay CA meal premiums) and E0002 (timing: a comp change entered after the Rippling cutoff).

Cutover plan

Go-live is the first pay period that starts in 2027, for each pay group:

Pay group	First 2027 period starts	Cutover starts (3 weeks before)
US Semi-monthly; UK, Canada and India Monthly	Jan 1, 2027	Dec 11, 2026
US Biweekly	Jan 10, 2027	Dec 20, 2026

Timing relative to the quarter boundary. Going live on Jan 1 starts a new tax year and quarter:

- Social Security, FUTA and SUI wage bases and 401(k) limits all start at zero, so no US YTD taxable wages, taxes or deductions need converting.
- Rippling files Q4 2026 and issues 2026 W-2s.
- If go-live slips into a quarter, YTD and QTD balances (taxable wages, taxes, deductions by tax type) must be converted and reconciled to Rippling before the first live run.

Steps:

1. **Build the GOLD tenant (cutover start).** Load the latest worker data as of the cutoff date to the Workday GOLD (production) tenant: workers, positions, comp, tax elections, benefit and deduction inputs, garnishment orders, schedules.
2. **Balance conversion.** Absence balances, garnishment remaining balances, benefit arrears and any pending payments as of the last Rippling run, each reconciled to Rippling by worker.
3. **Dual maintenance (cutover start to go-live).** Every transaction is entered in both Rippling and Workday; a daily delta report compares the two and differences are fixed the same day.
4. **Freeze windows.** Configuration is frozen at cutover start except for approved fixes. Integrations are frozen one week before go-live. Rippling becomes read-only after its last 2026 run.
5. **Go-live and worker onboarding.** Workday opens to workers, who validate their home address, bank accounts and direct deposit splits, and review tax elections.
6. **First live payroll checklist.**
    - Headcount roll-forward ties to Rippling's last register.
    - Direct deposit prenotes sent.
    - Time approved.
    - Pre-payroll audit cleared and flux explained.
    - Tax accounts and SUI rates set up; GL mapping validated with a test journal.
    - Funding approved.

Hypercare

Hypercare covers the first four cycles of each pay group.

Measure	Target
Workers paid correctly first time (no off-cycle or correction)	≥ 99.5%
Pay on time	100%
Severity 1 or 2 defects	0 open
Unexplained register variances (flux)	0
GL journal ties to the register on first pass	Every cycle
Time approved by the deadline	≥ 98% of timesheets
Provider (PECI) variances	All explained before approval
Employee payroll tickets	Trending down cycle over cycle

Exit criteria: four consecutive cycles meeting every target, every defect triaged with an owner, run-book and knowledge transfer complete, and sign-off by the Payroll Manager and the Controller.

10. Assumptions and limitations

This design and the app run on the exercise dataset and the rules supplied with it. Where the dataset was silent, we made the assumptions below. Each would be confirmed with Payroll Ops, Accounting or the implementation partner before configuration.

Assumptions

Area	Assumption or design decision
Taxes	Employee withholding uses flat approximations: federal 22% of income-tax wages, a flat rate per state (CA 6%), CA SDI 1.2%. Employer FICA, FUTA, SUI and the benefits load use the dataset's rates.
YTD	YTD wages are derived from pay × 2026 periods worked, and used only for wage-base caps
Proration	Working days (Mon–Fri) for hire, termination, unpaid leave, comp change and location change
Pay dates	A pay date on a weekend moves to the prior business day (UK, Canada and India: Oct 25 → Oct 23)
Retro	Retro posts with the original period's worktags and a current GL date; retro lines over $500 or 4 hours need Payroll Ops sign-off; a corrected day doesn't recalculate the prior week's weekly OT
Location change	Residence moves with the work location on the same date; no local income tax in the dataset's cities; the SUI wage base credits prior-state wages
Time	Night or shift differential, whichever is higher, never both; night differential counted by clock time; swing shift has no differential; a shift crossing midnight belongs to its start day; a CA shift over 12 hours always pays a meal premium; Texas has weekly OT only; duplicates are removed and time after termination is excluded
Absence policy	CA sick leave usable after 90 days, 80-hour cap; US hourly vacation carries over up to its 120-hour cap; UK annual leave 28 days, 5 days' carryover; Ontario vacation 3 weeks at 6% vacation pay; India earned leave 18 days, usable after 240 days worked, 45-day carryover cap
Accounting	Department-to-P&L function mapping; biweekly month-end accrual at scheduled hours × rate, auto-reversed; all cost booked to the employing entity, with no intercompany entries in payroll (Accounting wasn't available to confirm these)
International	The provider calculates gross-to-net and is the system of record for results. The app's provider registers are generated stand-ins, with illustrative employee deductions.
Go-live	Each pay group's first 2027 period; cutover starts three weeks before

Open questions

- **Quebec pay frequency.** Montreal employees need at least semi-monthly pay; today they are in Canada Monthly.
- **Retro over a closed week.** Prior-week totals aren't in the dataset, so a retro time correction doesn't recalculate that week's weekly OT.

What we would do differently with more time

- Replace the flat tax rates with statutory withholding tables and real YTD balances loaded from Rippling.
- Generate the actual PECI file and a sample provider return, rather than a generated register.
- Connect the journal export to a NetSuite sandbox instead of simulating the transmission.
- Automate all four parallel runs, rather than the single-period parallel test in the app.
- Store edits, sign-offs and resolutions server-side with a full audit history, instead of in the viewer's browser.

What we need to make this real

From	What
Payroll Operations	Confirmed absence policies (waiting periods, carryover, Ontario vacation pay); time approval cutoffs; garnishment orders and balances; state tax account numbers and SUI rates; Rippling registers for the four parallels; owners for the control matrix
Accounting	Sign-off on the account and segment mapping, P&L functions, accrual method and intercompany approach; month-end close calendar; FX rate source; owner of GL mapping changes
Implementation partner	GOLD tenant build and data conversion; PECI configuration and testing with the provider; payroll journal integration to NetSuite; security groups for segregation of duties; parallel test scripts and cutover run-book